

Fearnleys Dry Bulk Weekly

Sep 17, 2025



Capesize/Newcastlemax

Last week, we wrote: *Data from last week's production curbs in China is now visible, and it was quite a drop, with imported iron ore consumption and hot metal output falling to the lowest level since January.*

A V-shaped recovery back up to pre-production curbs is likely, given that the share of profitable steel mills has not changed much, but it remains to be seen (bottom left chart).

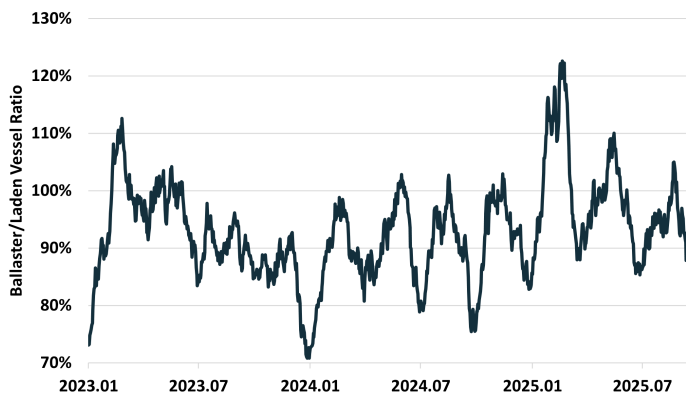
The iron ore futures curve has for some time suggested weakening demand, and surely some of that was because of these production curbs, but probably not the only reason. The Capesize index's 60-day rolling average appears to be peaking now, as indicated by the lead shown in the top right chart.

China's Golden Week is three weeks away. Since 2018, the market has peaked that week every year, except for 2023.

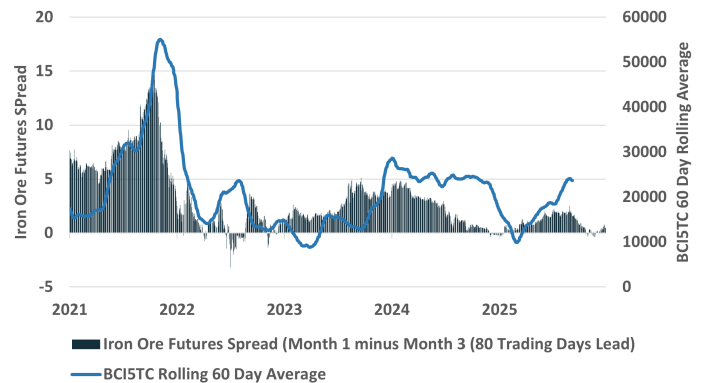
There was a V-shaped recovery in China's hot metal output and imported iron ore consumption last week. Both are back to the high range seen since the beginning of May. The share of profitable steel mills in China remains above 60%, indicating no imminent risk of a significant deterioration in fundamentals (bottom left chart).

The most recurring seasonal pattern is for the market to rise into the Golden Week, followed by a correction. The ballaster/laden vessel ratio is now at a similar level to mid-July, which suggests the seasonal pattern could repeat this year (top left chart, a lower ratio correlates with market tops and vice versa).

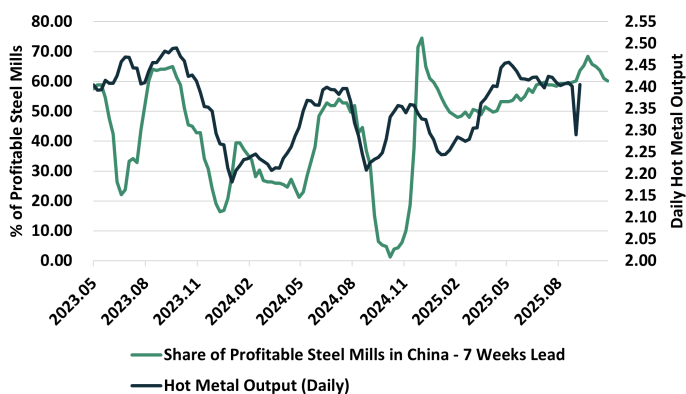
Cape/Newc Ballaster/Laden Vessel Ratio



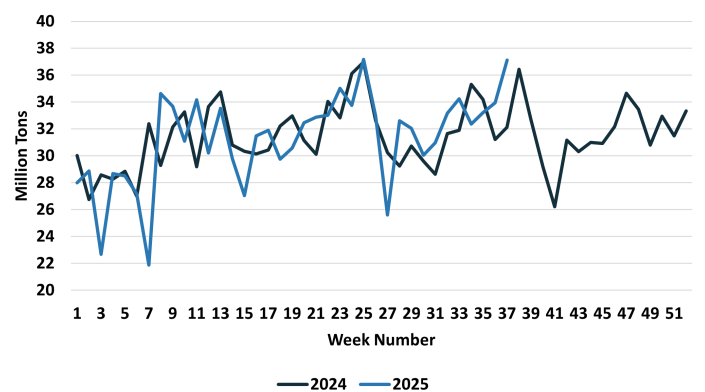
Iron Ore Futures Spread, 1st Month Minus 3rd Month (3 Months Lead) vs BCI5TC 60 Days Rolling Average



China - Share of Steel Mills that are Profitable, 7 weeks lead, vs Daily Hot Metal Output



Cape/Newc Weekly Shipment Volumes 24 vs 25



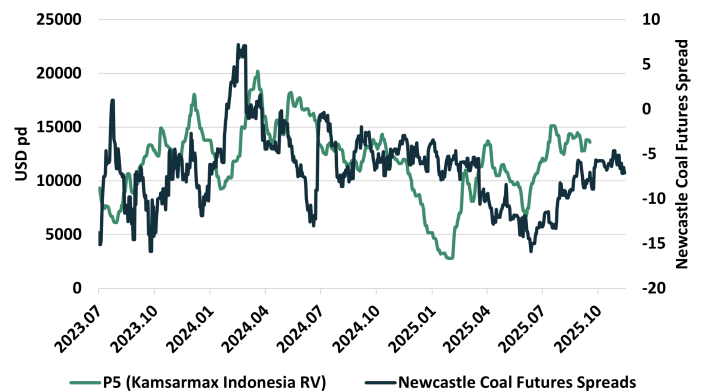
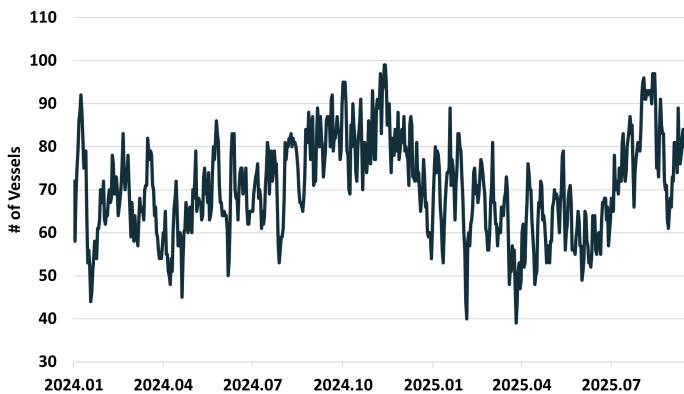


Panamax/Kamsarmax

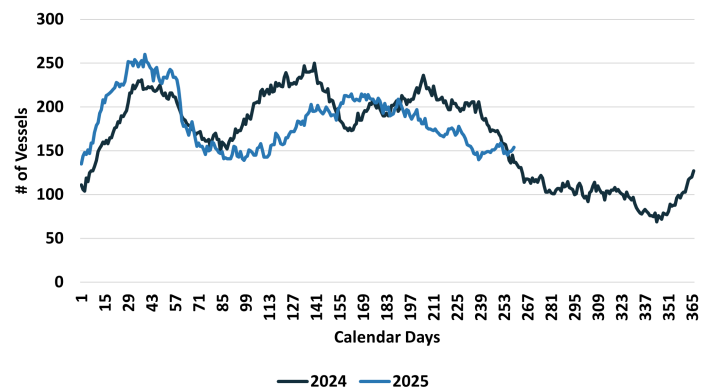
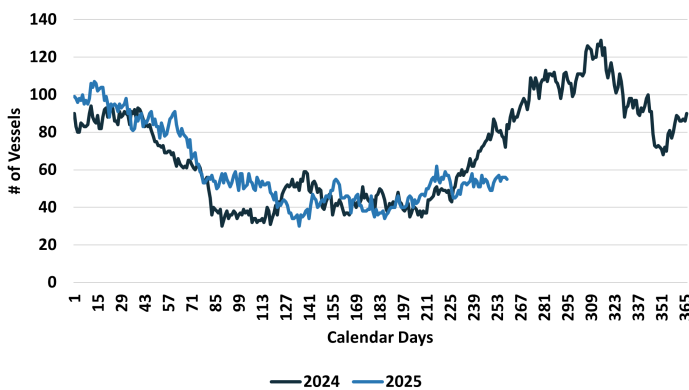
Last week, we wrote: *Coal prices have kept falling over the last week, but the futures curve spreads have not changed much, so the suggestion given by the lead shown on the top right chart remains for P5 to be rangebound in the next months. In the Atlantic, the market remains firm, so no sign yet of the US's zero Soybean sales to China impacting things negatively.*

Q4 is approaching, and since 2018, that quarter has averaged lower than Q3 in 5/7 years. The most obvious factor suggesting this pattern will recur is that US Soybean sales to China remain at zero. Coal prices have dipped as the heatwave-driven demand surge is winding down, and the near-month Newcastle coal futures curve contango has widened slightly. Perhaps a minor adjustment down in Pacific indices is coming, but the coal futures curve lead displayed on the top right chart does not suggest any major change from the rangebound market seen in the last two months.

Panamax / Kamsarmax Heading to Indonesia P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



Panamax/Kamsarmax Ballasting to the US, 24 vs 25 Panamax/Kamsarmax Ballasting to Brazil, 24 vs 25



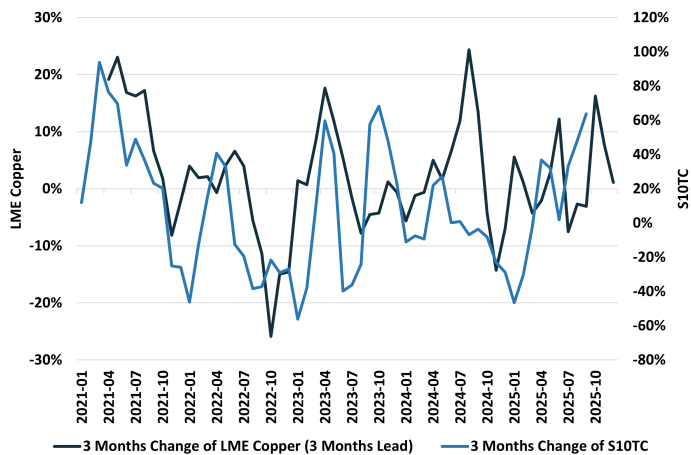


Supramax/Ultramax

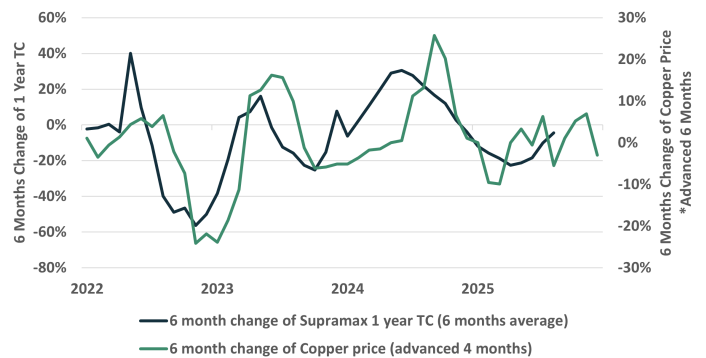
Last week, we wrote: *Pacific markets stalling, but Atlantic markets keep rising, and the 11TC/10TC indices are flattening out. As covered often in this report, the price of copper works very well as a leading indicator for Supras and Handies, as the commodity is a proxy for global industrial activity and minor bulks demand. The upper charts display two variations of this. The key message is that the latest downturn in the price of copper suggests market momentum could be close to peaking.*

Going with what is suggested by the movements in the price of Copper, it can be pointed out that Q4 has averaged lower than Q3 each of the last 4 years. Further, over the last 15 years, it was only during 21/22 that the Supramax 6TC index went higher than where it is currently.

Copper Price 3 Months Change, 3 Months Lead vs 3 Months Change of Supra 10TC



Copper Price 6 months Change, 4 Month Lead vs Supramax 1 Year TC 6 Months Change



Supramax 6TC 2006-2025



Supra/Ultra Ballaster/Laden Vessel Ratio





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Fearnleys AS

Dronning Eufemias gate 8
0191 Oslo
Norway
+47 22 93 60 00

An Astrup Fearnley Company